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Caesars Looks to Cash In on Its Online-Gambling Chip

By ALEXANDRA BERZON

Caesars Entertainment Corp. has been crafting a complex plan to use online gambling and a few other growth assets to pull itself out of a financial tight spot—a tactic that could get a boost as New Jersey on Tuesday adopted a regulated market for Internet wagers.

Perhaps counterintuitively, the first step in Caesars's plan is to spin off its online gambling business to raise equity.

Associated Press

Caesars faces growing competition in places like Atlantic City, above.

The proposed gambit from Caesars's owners is controversial and complicated, particularly because the potential of online gambling in the U.S. remains hazy. But executives say it might give them the best chance of managing a balance sheet hobbled by worsening casino performances and a massive debt load.

"We believe it will further improve our liquidity and credit profile, enhance our distribution network and provide additional support for potential new ventures," Chief Executive Gary Loveman said during a conference call this week, referring to the tentative plan to create the spinoff, known as Caesars Growth Venture Partners.

It wouldn't be the wobbly casino giant's first intricate private-equity maneuver as it navigates a difficult period.

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For years the company's private-equity owners, led by Apollo Global Management and TPG Capital, have sought to use a variety of tactics to stave off a reckoning on Caesars's debt, much of it piled on when they took the company private just before the financial crisis. Those moves have included a small public stock offering, as well as changing debt agreements while extending maturities.

Yet analysts say the company isn't out of danger yet, given its $24 billion in debt and recently flat or falling revenue.

The financial situation is hardly improving as growing competition and consumer belt-tightening have affected Caesars's operations both in hubs such as Atlantic City and regional locales such as Indiana and Iowa.

But in an interview last week at the company's Caesars Palace headquarters in Las Vegas, new Chief Financial Officer Donald Colvin said that analysts who worry about the company's future ability to meet its debt obligations are too gloomy.

Mr. Colvin said the company believes that its operating performance will improve, allowing it to borrow money at lower interest rates. At the same time, Caesars has made plans for financial maneuvers designed to give it more breathing room.

Under the latest plan, disclosed earlier this month and still not completed, the company would spin off Caesars's best growth prospects, including its online gambling division and a stake in a planned casino in Baltimore, into a separate company. Caesars's current investors would buy a large piece of the new company, with Caesars also keeping a sizable stake.

The plan could still fall through, executives say.

Analysts estimate the value of the new company could be about $2.6 billion, although such an assessment is complicated by the difficulty of valuing some of the assets in question. That is particularly true of the Internet gambling division, because the legal picture for online gambling is still unclear. Caesars will soon start operating online for people physically within Nevada and, likely, New Jersey, where it owns four casinos.

New Jersey Gov. Chris Christie on Tuesday signed a bill into law allowing current casino operators in Atlantic City to operate online gambling in the state. Since Caesars owns casinos there, the company would be eligible for an online-gambling license. Mr. Loveman on Monday predicted the company could be up and running online there in 18 months to two years, while the governor's proposed budget implies a much earlier time frame.

Other states might follow New Jersey in legalizing online gambling. Still, such expansion plans are highly uncertain and have numerous unknowns given the industry's nascent status.

Some analysts worry that due to the uncertainty, Caesars might not be able to realize online gambling's full potential if the company sells a large chunk of the business now.

During a conference call on Monday, Goldman Sachs analyst Kevin Coyne asked Mr. Loveman whether Caesars might be better off waiting until the Internet gambling market is better established so the company can get more value for that business.

Mr. Loveman responded that selling now would help the company by possibly sending much-needed cash back into Caesars and by creating a new entity that could raise funds for new growth projects. Executives say that an independent third party will place a fair value on the proposed spinoff.

Yet another question that the company hasn't answered is what it will do with the funds from selling part of the planned subsidiary, if the deal is completed. The company still has nearly $5 billion in mortgage-backed security debt that will probably have to be refinanced before it comes due in two years.

It has managed to extend by a few years much of the rest of its debt that was to come due sooner—at the price of far-larger interest payments. They have gone up about $300 million since the end of 2011 to $1.75 billion a year, UBS analyst Greg Roselli estimated recently.

The trouble for the company is that its casino revenue fell in nearly all of its markets last year as gamblers stopped visiting as often, competition heated up nearby and Hurricane Sandy hurt business in Atlantic City and Pennsylvania, the company said this week. Revenue at the company's Las Vegas casinos improved only slightly, Caesars said. Unlike its three major Las Vegas-based competitors that have casinos in Macau, Caesars has been locked out of the booming Chinese gambling market, which is exponentially more lucrative than Las Vegas.

A particularly brutal fourth quarter capped the year. Net revenue, or revenue after excluding promotions for gamblers, fell 4.3% in the quarter from a year earlier, to about $2 billion.

The company's full-year loss deteriorated to $1.5 billion for 2012 from $688 million in 2011. Full-year net revenue increased less than 1%.

Standard and Poor's analyst Melissa Long estimates the company would need to raise its earnings before interest, taxes depreciation and amortization 25% in the next few years in order to meet fixed costs.

"The proliferation of gaming across the country is working against them," said Mr. Roselli, the UBS analyst.

One project the company has predicted will spur significant improvement is a giant attraction known as the High Roller, a Ferris wheel-style ride with rotating cabins that hold 35 people each. The company is building the High Roller across the street from Caesars Palace on the Las Vegas Strip, along with a network of bars and restaurants leading to the wheel.

Some analysts say the project is unlikely to be transformative for Caesars, but Mr. Colvin, the chief financial officer, said they are underestimating the impact of creating a new hub attraction in Las Vegas.

"As the High Roller wheel turns, so will the fortune of Caesars start to improve," Mr. Colvin quipped.

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